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EQUITY Bank
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Equity Group Holdings
Q1'2026 Earnings Note

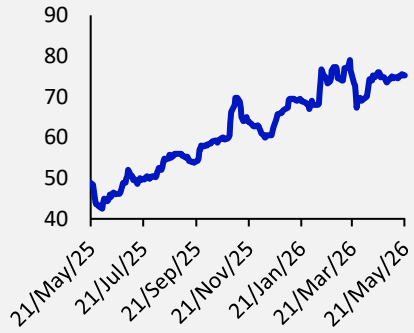


Equity Group Q1'26 Earnings Note

25th May 2026

Ticker Information	
NSE Code:	EQTY
Issued Shares (Bn):	3.77
52-week high:	KES 80.00
52-week low:	KES 33.70

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(0.3%)	2.7%	18.0%	54.4%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	**KES 76.00**	**KES 94.66**

Summary

- **Equity Group's Q1'2026 results mark a decisive step-change in earnings quality, with Profit After Tax accelerating 24.1% y/y to KES 19.05Bn,** driven by lower funding costs and surging regional subsidiary contributions. This was a clean beat on multiple fronts, as revenue grew 14.8% y/y to KES 55.31Bn; growth was evidenced in both funded and non-funded income streams. Meanwhile, total assets expanded 16.4% y/y to KES 2.04Tn, while the Gross NPL ratio improved to **11.9%** from **15.5%.** Notably, regional subsidiaries now contribute 50.0% of Group banking profitability, highlighting how rapidly Equity's regional franchise is evolving into a meaningful earnings anchor for the Group.

Key Highlights

- **Income Drivers:** Equity's Q1'2026 earnings acceleration was largely a margin story, with total operating income rising 14.8% y/y to KES 55.31Bn as the Group repriced its liability book more aggressively within a softer rate environment. Consequently, net interest income expanded 15.6% y/y to KES 33.02Bn, while interest expense declined sharply by 18.8% y/y to KES 10.78Bn, driving meaningful improvement in funding costs and reinforcing the strength of Equity's low-cost deposit franchise. Meanwhile, non-funded income rose 13.7% y/y to KES 22.29Bn, supported by sustained growth in transaction throughput across digital channels and ecosystem-based revenues. We view the evolving earnings mix as increasingly reflective of the scalability of Equity's technology infrastructure and the diversification of its revenue engine.
- **Asset Quality:** Q1'2026 marked a meaningful inflection in Equity's credit cycle, with the Gross NPL ratio improving to 11.9% from 15.5% as the Group continued to realize the benefits of tighter underwriting standards, enhanced collections, and disciplined risk management. The improvement in asset quality was further reflected in lower credit impairments, with loan loss provisions declining 16.9% y/y, pointing to continued normalization in credit costs. Meanwhile, NPL coverage moderated slightly to 72.7% from 75.7%, although this largely coincided with a broader improvement in the stock of bad loans during the period. We note that improving performance across regional subsidiaries, particularly DRC and Tanzania, alongside resilient Retail and Public Sector lending, continues to support the evolution of a more diversified and stable credit franchise.

Operating Efficiency

Equity's cost dynamics continued to improve in Q1'2026, with the cost-to-income ratio tightening to 50.6% from 54.2% in Q1'2025, reflecting continued operating leverage from the Group's technology-led model. While staff costs rose sharply amid ongoing investments in AI capabilities, digital talent, and regional expansion, we view this as strategic capacity build-out rather than structural cost pressure, particularly given the accelerating migration toward digital channels and rising transaction throughput across the ecosystem. Notably, 98.3% of transactions were conducted outside branches, with 89.5% processed through digital platforms, reinforcing the scalability and efficiency of Equity's infrastructure. Meanwhile, lower loan loss provisions and easing credit costs continued to support positive operating jaws during the quarter.

Balance Sheet Dynamics

Equity's balance sheet expansion remained broad-based in Q1'2026, with total assets growing 16.4% y/y to KES 2.04Tn, reinforcing the scale and liquidity strength of the franchise. Customer deposits rose 11.9% y/y to KES 1.48Tn, comfortably outpacing loan growth and reflecting continued momentum in deposit mobilization across both Kenya and regional markets. Meanwhile, net loans increased 8.6% y/y to KES 873.49Bn, supported by sustained growth across the Retail, MSME, and Public Sector segments, while the moderation in the loan-to-deposit ratio points to a more conservatively positioned balance sheet with ample capacity for future credit expansion. We particularly note that the Group's growing liquidity buffers, strengthening capital base, and diversified funding structure continue to position the Group with substantial balance sheet optionality ahead of the next credit expansion cycle.

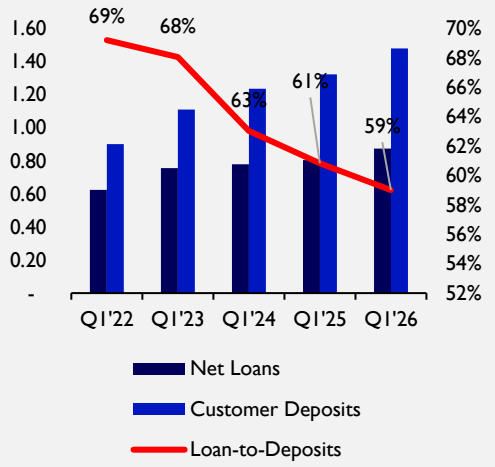
Outlook

We enter Q2 2026 increasingly constructive on Equity's trajectory, as the Group's multi-year transformation into a technology-led pan-African financial services platform continues to translate into tangible earnings quality improvements. The structural drivers of the story; lower credit costs, improving funding efficiency, accelerating digital throughput, and rising regional subsidiary contributions remain firmly intact and, in our view, are becoming increasingly self-reinforcing. Importantly, the earnings mix is gradually shifting beyond traditional lending toward a more scalable ecosystem model anchored on payments, insurance, digital channels, and transaction-led revenues. We particularly view the continued momentum across Tanzania and DRC as strategically significant, not only from a profitability standpoint but also as evidence that Equity's regional expansion strategy is maturing into a durable and diversified earnings engine. Meanwhile, the Group's aggressive liability repricing, deep liquidity buffers, and strengthening capital position should provide sufficient flexibility to sustain growth even within a moderating rate environment. While geopolitical risks, currency volatility, and uneven private sector credit recovery remain key watchpoints, we believe the broader investment case is increasingly being driven by structural franchise quality rather than cyclical earnings momentum. Overall, the long-term thesis around digital scale, regional diversification, and ecosystem monetization remains firmly intact and increasingly difficult to ignore.

Recommendation

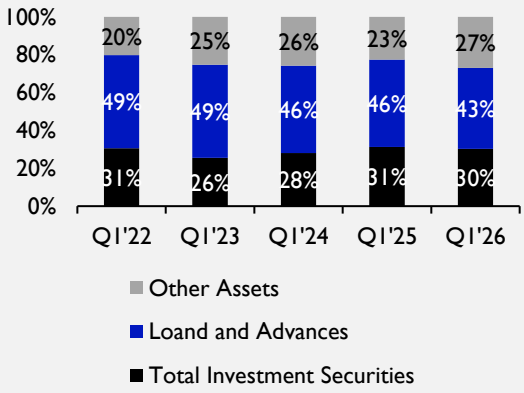
- **We maintain our BUY recommendation on Equity Group Holdings Plc, supported by continued earnings resilience, improving operating efficiency, and strengthening regional diversification.** The current price level of KES 76.00 implies a 24.6% upside to our target price**.** At the current market price, the stock is trading at a P/E ratio of 3.6x and a P/B ratio of 0.9x. Our one-year target price for Equity Group currently stands at KES 94.66.

Chart 2: Improved Deposit Mobilization



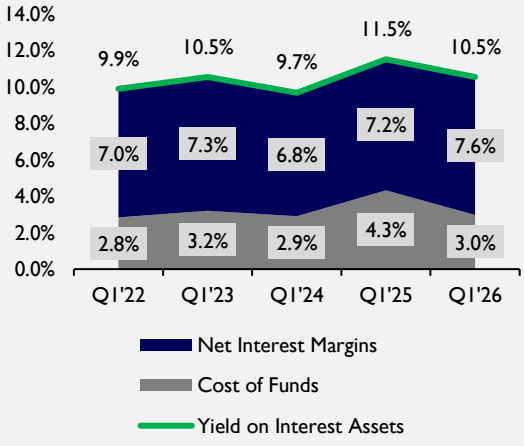
Source: Company filings, AIB-AXYS Research.

Chart 3: Asset Composition Mix



Source: Company filings, AIB-AXYS Research.

Chart 4: Expanding Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y change
Net Interest Income	19.4	21.7	27.8	28.57	33.02	▲ 15.6%
Non-Interest Income	11.9	18.4	22.2	19.61	22.29	▲ 13.7%
Total Operating income	**31.3**	**40.1**	**50.1**	**48.18**	**55.31**	▲ 14.8%
Provision for Impairment	(1.8)	(3.5)	(6.1)	(3.37)	(2.80)	▼ (17.0%)
Total Operating expenses	(16.0)	(23.2)	(29.7)	(29.50)	(30.79)	▲ 4.4%
Profit before tax	15.3	16.9	20.4	18.68	24.52	▲ 31.2%
Profit after tax	**11.9**	**12.8**	**16.0**	**15.35**	**19.05**	▲ 24.1%
Core EPS Annualized	12.24	13.04	16.32	15.69	19.43	▲ 23.8%

Balance Sheet (KES Bn)	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y change
Total Investment Securities	389.4	392.5	473.2	548.38	615.07	▲ 12.2%
Loans and Advances	623.6	756.3	779.3	804.69	873.49	▲ 8.6%
Total Assets	**1,269.5**	**1,537.7**	**1,685.9**	**1,749.18**	**2,036.55**	▲ 16.4%
Customer Deposits	900.9	1,111.2	1,236.3	1,322.80	1,480.20	▲ 11.9%
Total Liabilities	1,095.3	1,347.0	1,467.1	1,484.51	1,692.89	▲ 14.0%
Total Equities and Liabilities	**1,269.5**	**1,537.7**	**1,685.9**	**1,749.18**	**2,036.55**	▲ 16.4%

Ratio Analysis	Q1'22	Q1'23	Q1'24	Q1'25	Q1'26	% y/y change
Spreads Analysis						
Yield on Assets	9.9%	10.5%	9.7%	11.5%	10.5%	▼ (1.0%)
Cost of Funds	2.8%	3.2%	2.9%	4.3%	3.0%	▼ (1.3%)
Net Interest Margin	7.0%	7.3%	6.8%	7.2%	7.6%	▲ 0.4%
ROaE	28.1%	25.8%	24.1%	19.9%	26.8%	▲ 6.9%
ROaA	3.7%	3.4%	3.1%	2.8%	4.2%	▲ 1.4%
Profit Margin	37.9%	31.9%	32.0%	31.9%	34.4%	▲ 2.6%
Operating Efficiency						
Cost to Income Less LLP	45.3%	49.2%	47.1%	54.2%	50.6%	▼ (3.6%)
Cost to Assets Less LLP	4.8%	1.4%	1.5%	1.5%	1.5%	▼ (0.0%)
Loan to Deposit	69.2%	68.1%	63.0%	60.8%	59.0%	▼ (1.8%)
Asset Quality						
Gross NPL Ratio	9.1%	10.2%	14.5%	15.5%	11.9%	▼ (3.6%)
NPL Coverage	66.0%	62.0%	83.0%	75.7%	72.7%	▼ (2.9%)
Cost of Risk	0.3%	0.5%	0.8%	0.4%	0.3%	▼ (0.1%)
Capital Adequacy						
Core Capital/TRWA	13.9%	15.5%	15.9%	16.5%	17.7%	▲ 1.2%
Total Capital /TRWA	18.7%	19.8%	18.1%	18.3%	19.1%	▲ 0.8%
Liquidity	56.9%	51.5%	53.4%	58.5%	64.7%	▲ 6.2%



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